STUDENTS ACTIVITY



1. Conduct a model Annual general meeting with proper agenda for appointing the auditor of a company and fixing his remuneration by passing an ordinary resolution by the shareholders.
2. Visit an auditor's office and discuss with the auditor regarding his professional services.
3. Discuss with an auditor regarding the scope of his work and liabilities of an auditor.

SUMMARY

- In case of a joint stock company, the audit is a statutory requirement under the Companies Act, 2013. A person will be qualified to be appointed as an auditor of a company, only if he is a Chartered Accountant. The following persons shall not be eligible for appointment as an auditor of a company (i) A body corporate, (ii) An officer or employee of the company, (iii) Any partner, (iv) A person indebted in excess of Rs.5,00,000, (v) A person whose relative is a director or key managerial personnel (vi) A person holding more than 20 company audit.
- An auditor shall be appointed as first auditor or subsequent auditor or in casual vacancy in case of Government Company and Non-Government Company in different ways.
- An auditor can be removed from the company before the expiry of the term only by obtaining the prior approval of the Central Government. The auditor who has resigned from the company shall file a statement with the company and the Registrar, in case of Non-Government Company. In case of Government Company with the Comptroller and Auditor General of India (C & AG).
- A company auditor has the right to access books and vouchers, right to obtain information and explanation, right to sign audit report, right to receive notices and attend general meeting, right to visit branches, right to get remuneration, right to report to members, right to seek legal and technical advice, right to give suggestions to the board, right to correct wrong statements and right to be indemnified.

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